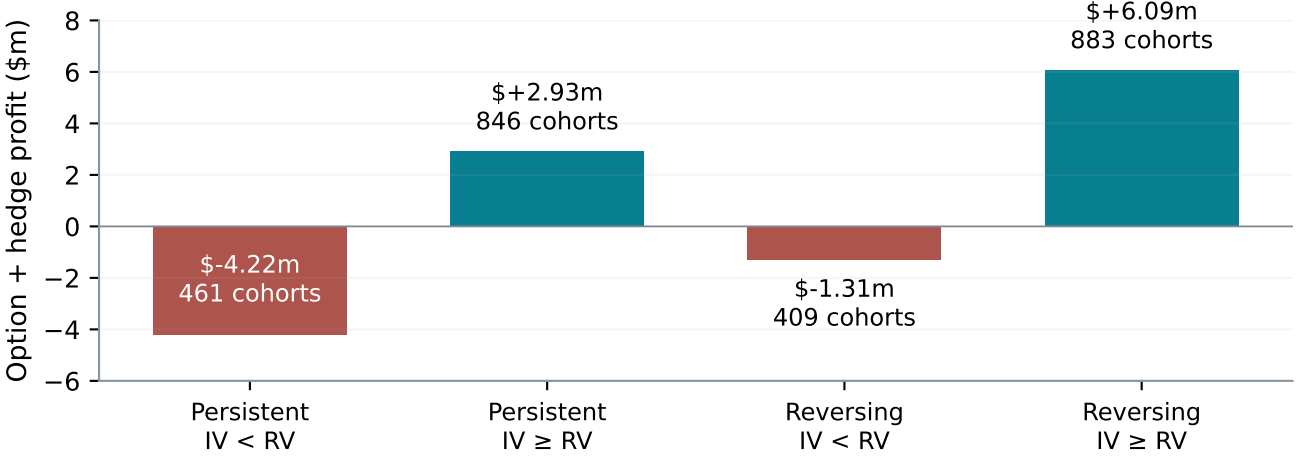
Option + hedge profit ($m)
8
6
4
2
0
−2
−4
−6
$-4.22m
461 cohorts
$+2.93m
846 cohorts
$-1.31m
409 cohorts
$+6.09m
883 cohorts
Persistent
IV < RV
Persistent
IV ≥ RV
Reversing
IV < RV
Reversing
IV ≥ RV